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TECH

Nvidia Earnings: What To Watch

Analysts expect higher profit, revenue on chips for AI and gaming

By Ted Greenwald

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Sales to giant internet companies are the biggest driver of Nvidia's stock, analysts say. Shown, a demonstration at Nvidia's GPU Technology Conference in Washington, D.C., on Nov. 1. SAUL LOEB/AGENCE FRANCE-PRESSE/GETTY IMAGES

Nvidia Corp. NVDA -4.26% ▼ is scheduled to announce earnings for its fiscal fourth quarter after the market closes Thursday. Here's what to look for:

EARNINGS FORECAST: Analysts expect Nvidia to report per-share earnings of $1.16 cents, according to a survey by Thomson Reuters, up 17% from the same quarter a year earlier.

REVENUE FORECAST: Analysts expect total revenue of $2.68 billion for the quarter, up 23% from a year earlier.

WHAT TO WATCH:

CHIPS FOR AI: Sales to giant internet companies are the biggest driver of Nvidia's stock, analysts say. Customers like Alphabet Inc., Amazon.com and Microsoft Corp. have been buying up the company's graphics chips to drive artificial-intelligence calculations that help them, for instance, auto-tag objects in photos. Data-center growth, which has increased by double digits from quarter to quarter for most of the last two years, declined to 2% in the second quarter, then rebounded to 20% in the third. Investors will be looking for sustained momentum, said analyst Mitch Steves of RBC Capital Markets LLC. He's looking for mid-single to double-digit sequential growth in data-center sales.

CRYPTOCURRENCY MINING: Miners of electronic currencies like Ethereum have embraced graphics cards to speed up calculations that unearth the digital coins. But such sales, which Nvidia reports in its gaming and OEM segments, are a double-edged sword for the company, analysts said: They've been bringing in substantial revenue in recent quarters, but they might disappear if the vogue for cryptocurrency mining wanes. "Nvidia has played down importance of crypto because they know it can be fickle depending on the price of the currency, and they want to support their fan base among gamers," said Stifel Financial Corp. analyst Kevin Cassidy. It is hard to differentiate between online sales to gamers and purchases by miners, he said, but investors will be looking for clues to crypto-related revenue in the quarter and beyond.

NEXT-GEN GAMING CARDS: Sales of gaming gear account for more than half of Nvidia's annual revenue, propelled by new products. The company has been shipping data-center chips based on its Volta design in significant volume since last summer, but it hasn't said on when, or even whether, it will roll out gaming cards based on the new architecture. "The timing is something people will be curious about because it should provide a decent tailwind," said analyst Blayne Curtis of Barclays PLC. He expects Nvidia to unveil Volta-based gaming products around spring.

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Ted Greenwald reported on the chip industry and artificial intelligence for The Wall Street Journal, bringing insights gleaned from two decades spent covering Silicon Valley technology and business. Ted previously edited enterprise-tech coverage for WSJ and feature stories for Wired, and his writing has appeared in The Atlantic, Fortune, and MI...

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